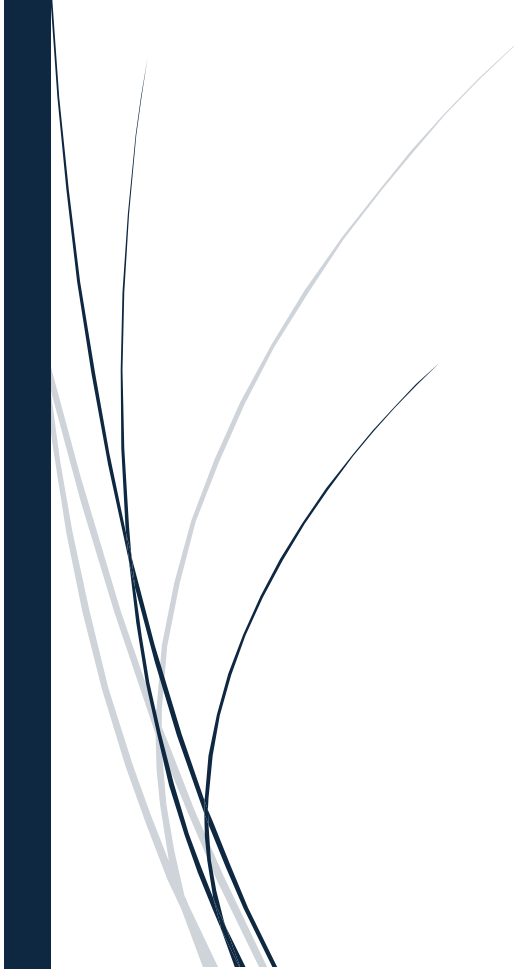
A dark blue arrow pointing to the right, positioned to the left of the main title.

# LEASE MANAGEMENT IN MREF

Several thin, curved, light blue lines that sweep upwards and to the right from the bottom left corner of the page.

## IBM Maximo Real Estate and Facilities

System Details

**Build Number**  
402158

**Platform Version**  
9.1.3

**Application Version**  
11.6

# Table of Contents

**Overview..... 2**

**LEASE ABSTRACT..... 3**

**EXERCISE 1. CREATING A LEASE ABSTRACT ..... 3**

**LEASE CONTRACT ..... 7**

**EXERCISE 2. CREATING A LEASE CONTRACT..... 7**

## Overview

To improve the efficiency of updates, queries, and reporting, MREF allows lease data to be digitally stored as structured lease records. Real estate lease records can be created either through manual data entry or by approving and completing lease abstract records, while asset lease records are created exclusively through manual entry.

**Lease Creation:** When lease records are entered and stored, they are presented in dedicated lease forms organized into multiple tabs. The system provides separate forms for *Real Estate Leases* and *Asset Leases*, with key sections such as **Clauses, Options and Terms**, and **Accounting** to capture all relevant contractual and financial details.

**Lease Accounting:** IBM TRIRIGA Real Estate Manager simplifies and standardizes lease accounting by incorporating processes that comply with major accounting standards—ASC 842, IFRS 16, GASB 87 (Lessee and Lessor), GASB 96 for Subscription-Based IT Arrangements (SBITA)—as well as legacy standards such as ASC 840 and IAS 17.

**Lease Accounting Concepts:** The **Accounting** tab within each lease form enables users to define essential financial parameters in accordance with the relevant standards set by FASB, IASB, and GASB. Users can enter details such as the borrowing rate, rent component assumptions, growth expectations, and the likely term of the lease. Based on this information, the system automatically determines the appropriate lease classification. This functionality is accessible only to users with the Lease Accountant role and a Real Estate Manager license.

**Prerequisites for Lease Accounting:** Before lease accounting can begin, an IBM TRIRIGA administrator must configure system-level settings, including accounting standards and related parameters. Once these are established, lease accountants or contract administrators can create and manage lease records.

**Initial Lease Setup:** Depending on the business scenario, either a contract administrator or a lease accountant can initiate the creation of new lease records, ensuring proper setup of all required financial and contractual details.

**Adoption of Accounting Standards:** Organizations can adopt new accounting standards in MREF by running the system's built-in adoption process or by transitioning existing leases using carryover amounts. The appropriate method depends on the lease's Accounting *Start Date*.

**Local Reporting and Adoption Setup:** Local reporting requirements and adoption details can be configured using the Lease Process Record form to accommodate region-specific accounting needs.

**Lease Modifications and Reviews:** Both contract administrators and lease accountants can modify lease records, though the scope of changes available differs by role. During

reviews, a lease may be returned between these roles to correct or update information before approval.

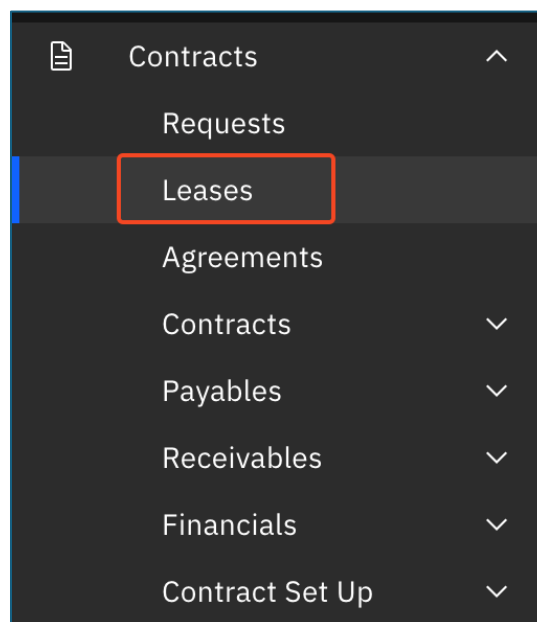
**Lease Expiration and Termination:** MREF supports the full lease lifecycle, allowing users to expire leases upon completion of their term or terminate them early when required.

## Lease Abstract

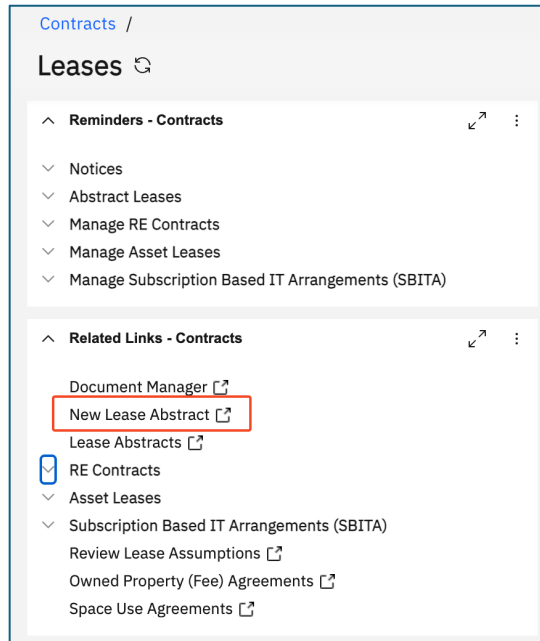
A **Lease Abstract** is a concise summary of key information from a lease agreement, capturing critical details such as lease dates, rent terms, parties involved, and important clauses. In MREF, lease abstracts help users quickly access essential data without reviewing the full legal document. They support accurate data entry, compliance tracking, and informed decision-making. Lease abstracts are vital for managing large lease portfolios efficiently and ensuring visibility into financial and legal obligations.

## Exercise 1. Creating a Lease Abstract

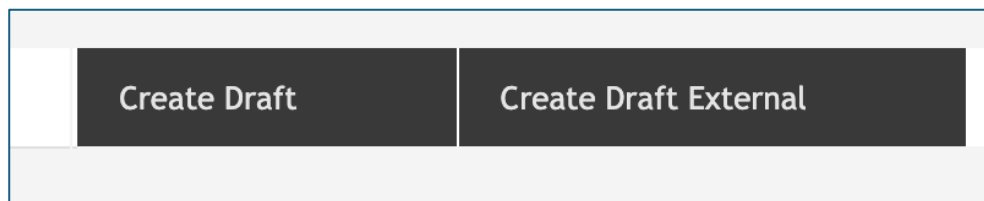
1. Login to Maximo Application Suite and Launch Real Estate and Facilities.
2. Go to **Contracts -> Leases**.



3. Expand Related Links –Contracts and click on **New Lease Abstract**.



4. Click on **Create Draft**.



5. Fill the below under the **Document Type** and General details of Lease Abstract.

|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |  |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|
| Abstract Details<br>Abstracted By: facilitiesadmin facilitiesadmin<br>Abstracted Date: 10/15/2025                                                                                                                                                                                                                                                                                                                                                                                                          |  |
| Document Details<br>Document Version:<br>Document Type: Lease<br>Lease File Name:<br>Inception (Execution) Date: 10/15/2025<br>Effective Date: 10/15/2025                                                                                                                                                                                                                                                                                                                                                  |  |
| General<br>Lease ID: IT-ROME-OFFICE<br>Lease Name: Office Lease, Rome, Italy<br>Legal Name: Office Lease, Rome, Italy<br>Description: An Office Lease in Rome, Italy a formal agreement between a property owner (landlord) and a business (tenant) for the rental of office space within the city of Rome. This type of lease outlines the terms under which the tenant can occupy and use the space for commercial or administrative purposes.<br>Revision: 0<br>Legacy ID:<br>Status: Draft<br>Picture: |  |

6. Click on **Save and Close** on the upper right corner.

7. Open the Lease Abstract that you created from **Work In Progress Lease Abstracts**.

Contracts / Leases

Reminders - Contracts

- Notices
- Abstract Leases
- Manage RE Contracts
- Manage Asset Leases
- Manage Subscription Based IT Arrangements (SBITA)

Related Links - Contracts

Work In Progress Lease Abstracts

My Work In Progress Lease Abstracts

Apply Filters

Add New Abstract...

| Photo | Abstractor                    | ID             | Contract Name             | City     | State/Province |
|-------|-------------------------------|----------------|---------------------------|----------|----------------|
|       | Contains                      | Contains       | Contains                  | Contains | Contains       |
|       | facilitiesadmin facilities... | IT-ROME-OFFICE | Office Lease, Rome, Italy |          |                |
|       | facilitiesadmin facilities... | 1000147        |                           |          |                |
|       | facilitiesadmin facilities... | 1000148        |                           |          |                |

Items per page: 50 1 - 3 of 3 items 1 of 1 pages

8. In the **Primary Address** section, click the magnifying glass icon for the Location Lookup field and select this location from the list.

Primary Address

Create New Location Create New City

Location Lookup \Locations\Offices\Europe\Rome Plaza

Location Rome Plaza

Geography Path \Geography\Europe\Italy\Lazio\Roma\Rome

Address Via Siusi 2/1

Description

City Rome State/Province Roma

County Zip/Postal Code 20100

Country Italy

9. In the **Details** section, fill these below lease related details.

Details

Lease Type Expense Lease

Primary Use Office

Base Lease Rate \$1,000.00 US Dollars

Memorandum of Lease

Is Cost or Fair Market Value Determinable?

Accounting Type Accounts Payable (AP)

Lease Category

Contract Status

Lease Base Year 0

Rules And Regulation?

Is it Market-Based?

Payment Timing Payment in Advance

Details

10. In the **Critical Dates** section, enter the first day of the current month in the **Commencement Date** field, and enter the last day of the month exactly 12 months from today in the **Base Lease Expiration Date** field.

Critical Dates

Commencement Date 10/01/2025

Base Lease Expiration Date 09/30/2026

Rent Commencement Date

Legal Notice Date

Construction Start Date

Construction End Date

Occupancy Date

11. In the **Management Company** section, click the magnifying glass icon for the Management Organization Lookup field and select from the list.

Management Company Create New Organization

Management Organization... \Organizations\Landlords\Societa' Immobiliare Tirrena p/a

Legal Name Societa' Immobiliare Tirrena p/a

Legal Classification ✕ State/Country of Incorporation Margataville

Federal ID 40-10347 Place Of Registration Pleasantville

Address Via Francesco Crispi n90

City Rome Post Box

City Sub-Division State/Province

Zip/Postal Code Country Italy

Contact Lookup ✕

12. In the **Default Remit To** section, click the magnifying glass icon for the Remit To Lookup field and select from the list.

Default Remit To Update Payment Instructions

Remit To Lookup \Organizations\Landlords\Societa' Immobiliare Tirrena p/a

Organization Name Societa' Immobiliare Tirrena p/a Payable To Societa' Immobiliare Tirrena p/a

Address Via Francesco Crispi n90

City Rome State/Province

Zip/Postal Code Country Italy

Vendor Number 401161

13. Open the **Tax** Tab and enter:

- Tax Type: Sales Tax
- Tax Rate %: 3

Lease Abstract: Office Lease, Rome, Italy-IT-ROME-OFFICE 0 Apply Template Activate Save Save & Close More

General Rent Default Security Deposit Options Rights Allowances OPEX/CAM Insurance **Tax** Parking Co-Tenancy Green Lease Provisions

Provide tax information for the Lease Abstract.

Tax Clause Tax Schedules Add Clause Save Clause Clear Wizard

Document Reference:

Document Type Lease ✕ Granted In Lease ✕

Section Page

Abstract Notes

Clause Details:

Tax Type Sales Tax ✕

Includes Index Adjustment? ☐

Clause Summary

File Edit View Insert Format Tools Table

Paragraph **B** *I* U ✕

Clause Text

Tax Details:

Taxes Paid Via

Tax Authority

Tax ID Tax Rate % 3 percent ✕

Does Tenant have Right to Appeal Tax? ☐

Are Discounts Entitled? ☐

Annual Appeals Deadline 0 ✕

14. Click on **Save -> Activate**.

15. Open the Lease Abstract and **Complete** it.

Contracts / Leases / Lease Abstracts ✕ Add

Lease Abstracts ✕ Clear Filters App

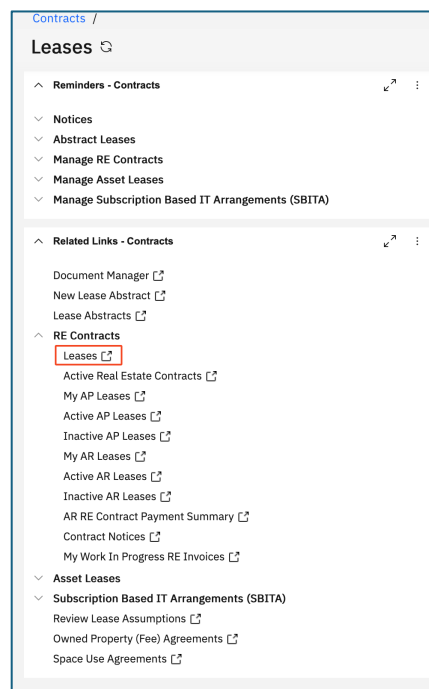
| ID: ROME                 | Photo | Abstractor                    | ID             | Contract Name             | City     | State/Province | Country  |
|--------------------------|-------|-------------------------------|----------------|---------------------------|----------|----------------|----------|
| <input type="checkbox"/> |       | Contains                      | ROME           | Contains                  | Contains | Contains       | Contains |
| <input type="checkbox"/> |       | facilitiesadmin facilities... | IT-ROME-OFFICE | Office Lease, Rome, Italy | Rome     | Roma           | Italy    |

## Lease Contract

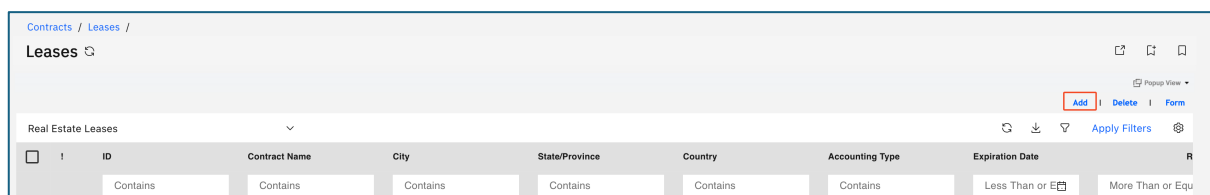
A **Lease Contract** is a digital record of a real estate or equipment lease agreement between a tenant and a landlord. It captures all key lease details such as financial terms, lease durations, payment schedules, and associated spaces or assets. The contract supports compliance with accounting standards like ASC 842 and IFRS 16, helping organizations manage lease obligations efficiently. It also automates rent schedules, tracks critical dates, and enables better decision-making through integrated reporting and analytics. This module is essential for centralizing lease management across an organization's portfolio.

### Exercise 1. Creating a Lease

1. Login to Maximo Application Suite and Launch Real Estate and Facilities.
2. In the related links section, expand RE Contracts and click on **Leases**.



3. Click on **Add**.





#### 4. Fill the General details for the lease.

| General                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Contact Details | Locations | Clauses, Options & Terms | Payments | Accounting | Space Use Agreement | History | Summary | Service Areas |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------|-----------|--------------------------|----------|------------|---------------------|---------|---------|---------------|
| <div> <div>General</div> <div> <div>ID</div> <div>IT-ROME-OFFICE</div> <div>Revision</div> <div>0</div> <div>Status</div> <div></div> <div>Picture</div> <div></div> </div> <div> <div>Name</div> <div>* Office Lease, Rome, Italy</div> </div> <div> <div>Description</div> <div></div> </div> <div> <div>Legal Name</div> <div></div> </div> <div> <div>Display Color</div> <div></div> <div>Legacy ID</div> <div></div> </div> </div>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                 |           |                          |          |            |                     |         |         |               |
| <div> <div>Units</div> <div> <div>Currency</div> <div>US Dollars</div> <div>Area Units</div> <div>square-feet</div> </div> <div> <div>Carbon Reporting UOM</div> <div>US Tons CO2</div> <div>Energy Reporting UOM</div> <div>megajoules</div> </div> </div>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                 |           |                          |          |            |                     |         |         |               |
| <div> <div>Details</div> <div> <div>Lease Type</div> <div>Expense Lease</div> <div>Lease Category</div> <div></div> <div>Primary Use</div> <div>Office</div> </div> <div> <div>Base Lease Rate</div> <div>\$1,000.00 US Dollars</div> <div>Lease Base Year</div> <div>0</div> <div>Co-location</div> <div><input type="checkbox"/></div> </div> <div> <div>Conversion Group</div> <div>Default</div> <div>Currency Exchange Date</div> <div>10/15/2025 21:36:59</div> <div>Contract Status</div> <div></div> </div> <div> <div>Memorandum of Lease</div> <div><input type="checkbox"/></div> <div>Rules And Regulation?</div> <div><input type="checkbox"/></div> <div>Is it Market-Based?</div> <div><input type="checkbox"/></div> </div> <div> <div>Accounting Type</div> <div>Accounts Payable (AP)</div> <div>Asset Class</div> <div></div> </div> <div> <div>Payment Timing</div> <div>Payment in Advance</div> <div>Prepaid Lease</div> <div><input type="checkbox"/></div> </div> </div>                                 |                 |           |                          |          |            |                     |         |         |               |
| <div> <div>Critical Dates</div> <div> <div> <div>Commencement Date</div> <div>10/01/2025</div> <div>Lease Term</div> <div>1 Year</div> </div> <div> <div>Base Lease Expiration Date</div> <div>09/30/2026</div> <div>Expiration Reminder</div> <div>6 Months</div> <div>Expiration Notification Date</div> <div>03/30/2026</div> </div> <div> <div>Rent Commencement Date</div> <div></div> <div>Occupancy Date</div> <div></div> <div>Vacate Date</div> <div></div> </div> <div> <div>Inception (Execution) Date</div> <div></div> <div>Abstracted Date</div> <div></div> <div>Legal Notification Date</div> <div></div> </div> <div> <div>Legal Notice Date</div> <div></div> <div>Legal Notice Reminder</div> <div>6 Months</div> <div>Legal Notification Date</div> <div></div> </div> <div> <div>Original Commencement Date</div> <div></div> <div>Construction Start Date</div> <div></div> </div> <div> <div>Original Expiration Date</div> <div></div> <div>Construction End Date</div> <div></div> </div> </div> </div> |                 |           |                          |          |            |                     |         |         |               |

#### 5. In the Contact Details tab, Contacts section, click on **Contract Administrator** -> In the Contact section, click **Find** -> Select the person -> Click the **OK** action.

| Contacts                 |   |                                        |                      |                |                |                             |
|--------------------------|---|----------------------------------------|----------------------|----------------|----------------|-----------------------------|
| Contacts and their Role  |   |                                        |                      |                |                |                             |
| <input type="checkbox"/> | ! | Role                                   | Person               | Work Phone     | Fax            | Email                       |
|                          |   | Contains                               | Contains             | Contains       | Contains       | Contains                    |
| <input type="checkbox"/> |   | <a href="#">Contract Administrator</a> | Lotta Leases         | (702) 954-8744 | (702) 954-8745 | lleases@IBMSmarterBuildi... |
| <input type="checkbox"/> |   | <a href="#">Lease Accountant</a>       | ssystem ssystem      |                |                | steve@ibm.com               |
| Primary Organization     |   |                                        |                      |                |                |                             |
|                          |   |                                        | Lease Administration |                |                |                             |
|                          |   |                                        | Accounting           |                |                |                             |

Items per page: 10 1 - 2 of 2 items

#### 6. Click on **Create Draft**.

#### 7. Go to Payment Schedules and click on **Generate Payment schedules**.

Real Estate Lease: IT-ROME-OFFICE-0-Office Lease, Rome, Italy

Submit For Accounting Review Save Save & Close More

General Contact Details Locations Clauses, Options & Terms **Payments** Accounting Space Use Agreement History Summary Service Areas Client Attributes

(Optional): Setup and review payment schedules, payments, and payment processes.

Accounting Summary

Accounting Start Date 10/01/2025

Deferred Liability Balance \$0.00 US Dollars

Payment Schedules Payments Payment Instructions Payment Processes

Payment Schedules

Generate Payment Schedules Remove

Recurring Payment Setup

| <input type="checkbox"/> | Payment Type | Accounting Type       | Description | Frequency | Start Date | End Date   | Cost per Unit | Contract Rentable | Ch |
|--------------------------|--------------|-----------------------|-------------|-----------|------------|------------|---------------|-------------------|----|
| <input type="checkbox"/> | Rent         | Accounts Payable (AP) |             | Monthly   | 10/01/2025 | 10/31/2025 | \$12.00       | 1000 square-foot  | pe |

Items per page: 30 1 - 1 of 1 items

1 of 1 pages

## 8. Fill the below details for generating the payment schedule.

General

ID 1011542 Status Pending

Name IBM Rome-Italy Office Payment Schedule

Description IBM Rome-Italy Office Payment Schedule

Details

Payment Type Rent

Option Term Payment ☐

Accounting Type Accounts Payable (AP)

Expected Cash Amount \$1,000.00 US Dollars

Expected Accrual Amount \$0.00 US Dollars

Expected Expense Amount \$1,030.00 US Dollars

Expected Expense Annual Amount \$12,360.00 US Dollars

Total Tax Rate 3 percent

Total Tax Amount \$30.00 US Dollars

Cost per Unit \$12.00 US Dollars

Conversion Group Default

Late Fees? ☐

Include In Amortization Schedule Derived From Schedule ☒

Summary Type Rent

Accounting Cost Center

Currency US Dollars

Charge Amount Basis per Month

Expected Cash Annual Amount \$12,000.00 US Dollars

Contract Rentable 1000 square-foot

Units square-foot

Currency Exchange Date 10/15/2025 22:23:03

Based on Estimate? ☐

Payment Schedule

Payment Schedule One Time Payment ☐ Pay on [x] day of Month ☒ Advanced Schedule ☐

Frequency Monthly

Pro Rata Basis Actual Month Day

Start Date 10/01/2025

Payment Due On First Day of Period

End Date 10/31/2025

Calculation Method Daily

Partial First Payment

Period From

Period To

Expected Date

Expected Cash Annual Amount \$0.00 US Dollars

Total Tax Amount \$0.00 US Dollars

Expected Expense Annual Amount \$0.00 US Dollars

Comments

Partial Last Payment

Period From

Period To

Expected Date

Expected Cash Annual Amount \$0.00 US Dollars

Total Tax Amount \$0.00 US Dollars

Expected Expense Annual Amount \$0.00 US Dollars

Comments

Tax Breakdown

Export 1 total Rowed

| Tax Type | Tax Rate  |
|----------|-----------|
| State    | 3 percent |

3 percent

## 9. Click on Create Schedule -> Save and Close.

10.Submit the Lease for Accounting in Review.

Real Estate Lease: IT-ROME-OFFICE-0-Office Lease, Rome, Italy

☆

🖨

🔒

Submit For Accounting Review

Save

Save & Close

More

General

Contact Details

Locations

Clauses, Options & Terms

Payments

Accounting

Space Use Agreement

History

Summary

Service Areas

Client Attributes

(Required): Provide general information about this Real Estate Lease.

General

ID

IT-ROME-OFFICE

Revision

0

Status

Draft

Picture

Name

Office Lease, Rome, Italy

Description

-----END-----

References: